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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS

General Certificate of Education Ordinary Level

MARK SCHEME for the November 2005 question paper

7100/02

7100/02 Commerce, Paper 2 , maximum raw mark 80

This mark scheme is published as an aid to teachers and students, to indicate the requirements of the examination. It shows the basis on which Examiners were initially instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began. Any substantial changes to the mark scheme that arose from these discussions will be recorded in the published *Report on the Examination*.

All Examiners are instructed that alternative correct answers and unexpected approaches in candidates' scripts must be given marks that fairly reflect the relevant knowledge and skills demonstrated.

Mark schemes must be read in conjunction with the question papers and the *Report on the Examination*.

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1 (a) (i) Wholesaler

(ii) Cotton farmer **[1]**

(b) (i) Any two points x 1 mark such as: **[2]**

People who make goods
From raw material
Example e.g. making cars
To satisfy needs and wants

Manufacture = 0 marks

(ii) Any two points x 1 mark such as: **[2]**

People who use/buy goods/services
And without whom there would be no reason to produce
To satisfy needs and wants
Not for resale/for own use
Last person in chain of distribution

(c) Any four points x 1 mark each (including up to 2 marks for a developed point) such as: **[4]**

Cotton is harvested and sold	or stored until the price rises
It is processed into cotton thread	and woven into cloth
The cloth is cut to suit the pattern	and stitched together
Other items are added	such as zips, buttons
The garment is branded	and packaged for sale
Cloth worked into finished item	

Any other relevant point

Any answer which discusses chain of production/costs/expenses/profits = 0 marks

(d) Level 3 [5-6 marks] **[6]**

Has <u>analysed</u> the need for specialisation in relation to a <u>clothing manufacturer</u> and has made a <u>reasoned judgement</u> based on the analysis.

e.g. a clothing manufacturer needs to use specialisation because he may be producing one particular product in large quantities, can use division of labour and so increase output and reduce labour costs. He would be able to make use of economies of scale such as increased use of machinery/technology and so produce a uniform product of a particular quality

Level 2 [3-4 marks]

Has <u>commented</u> on specialisation in relation to a <u>clothing manufacturer</u> and may/may not have made a judgement

e.g. the production of clothing is often done on a production line where division of labour takes place and there is large output

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Level 1 [1-2 marks]

Has made some comments on specialisation mostly unrelated to a clothing manufacturer

e.g. specialisation means concentrating on one product or task. Many products can be produced.

Allow negative approach

Points that might be included:

Specialisation enables the manufacturer to concentrate on one product/style
Division of labour can be used
And mass production can take place
It may increase output and enables large quantities to be produced
It may reduce labour costs
It enables machines/technology to be used more readily
It enables the manufacturer to make use of economies of scale
Example of economies of scale
If the clothing manufacturer is a specialist and uses job production, the clothing manufacturer will be concentrating on one garment and undertaking all tasks relating to that garment
The manufacturer will be specialising and become known for that particular kind of clothing but the workforce will not be specialists in one particular task

Any other relevant point.

(e) Any four points x 1 mark or 2 developed points x 2 marks such as: **[4]**

By being more watchful and aware of what they are buying
By watching consumer programmes
By reading consumer magazines e.g. to find the best value for money
By reporting unfair trading practices
By being aware of government legislation designed to protect them + example of legislation
By looking for labels on products e.g. BSI kite mark
By using reputable retailers e.g. ABTA travel agents
By buying branded goods
By telling other people
By suing/taking to court

Any other relevant point

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2 **(a)** Any two points developed x 2 marks or 4 points x 1 mark such as:

A small amount of money is needed to start trading e.g. own savings
Banks may be willing to lend against collateral such as property
It is an attractive job for many people with a wide diversity of opportunities/products/services that can be sold
It may be possible to take a franchise and so share risk with a larger organisation
It may be possible to operate from home using the Internet or have premises close to home
Many people enjoy serving customers and offering personal service
Back up from wholesaler
Easy to set up

Any other relevant point

(b) Any three factors x 1 mark each + 1 mark for each reason such as: **[6]**

Nearness to customers – customers often buy locally
Availability of labour – may need shop assistants
Availability of transport – customers to come to the shop, labour
Kind of site – close to other shops – on main roads
Ease of obtaining supplies – near main roads, delivery area
Close to/away from competition especially large-scale retailers – may have to rely on nearby customers
Cost of location
Planning rules

Any other relevant factor + reason

(c) **(i)** The candidate should choose after sales service and packaging of goods and should NOT choose EPOS and loyalty cards **[6]**

Award 1 mark each for three reasons to 6 mark max. 0 marks for choice

After sales service -
- Creates customer loyalty
- May increase turnover
- May need to deliver goods
- May be selling goods which require maintenance

Packaging of goods -
- Enables customers to serve themselves
- Protects the goods/saves damage
- Helps to preserve goods
- Assists the advertising of goods as brand on package
- May assist display of goods
- Handling easier

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If EPOS or loyalty cards are chosen, award marks for valid reasons

EPOS -
Enables the retailer to collect data on sales of particular items by reading the bar code
Can therefore stock what the customer requires
Reduces till errors

Loyalty cards -
Maintain customer loyalty and can be linked with special offers
May increase turnover

(ii) Any two points x 2 mark each such as: **[4]**

After sales service - may not be selling goods which need after sales service e.g. food
Packaging – may already be packaged
EPOS – business may be on too small a scale, more suitable for large-scale retailing, too expensive to install
Loyalty cards – may be too few customers, too expensive

Any other relevant reason

3 (a) Any two points such as: **[2]**

Some form of communication/example such as letter, email, fax, telephone
Sent to potential suppliers/from buyer to seller
Asking for detailed information

(b) Any three points x 1 mark each such as: **[3]**

Apologise (1), check that everything else was in the parcel (1), send another price list by fax/email, check that it has been received

Any other relevant point

(c) (i) Any four points x 1 mark each or two reasons explained x 2 marks each such as: **[4]**

To check deliveries
To confirm details of the transaction
To maintain records
To give information
To confirm an order
To request payment
To provide written proof of the transaction
To avoid fraud

Any other relevant reason

(ii) Any two documents x 1 mark each such as order form, invoice, delivery note, statement of account, receipt, advice note, credit note, debit note **[2]**

Enquiry/Quotation = 0 marks

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(iii) Level 2 (3-5 marks) Enquiry/quotation = 0 marks

Candidate has considered <u>both</u> cash and trade discount and has made a <u>reasoned judgement</u>

e.g. the customer may be offered trade discount if he is a retailer but there is no evidence in the information given to suggest that he is a retailer. He may be offered cash discount to encourage payment within a certain period of time in order to avoid bad debts

N.B. if a candidate has considered only trade discount or cash discount with a judgement – award 3 marks max

Level 1 (1-2 marks)

Candidate has explained trade and/or cash discount but not in the context of the question

Points that might be included:

The customer may be buying in small quantities
and Tan Enterprises may wish to encourage prompt payment
so that there are no bad debts
and Tan can use the money to purchase other goods
There is nothing in the information given to indicate that the customer is a trade customer
and so the customer should not be wanting to buy in large quantity
nor to make profits from reselling

(iv) Any two methods of payment x 1 mark each + 1 mark for each reason such as: **[4]**

Cheque – can be made out for any amount, can be crossed, can be posted, usually acceptable
Credit transfer – payment can be transferred at a bank, safe method of payment, may be paying other bills
Credit card – can postpone payment, can pay by instalments
Debit card – safe, money automatically debited from account

Any other relevant service + reason

Allow bank draft, cashier's order, banker's cheque

Cash/standing order/direct debit = 0 marks

4 (a) (i) 25% + 4% (1 mark) = 29% (1 mark) **[2]**

If the correct answer is shown without working award full marks
OFR applies

(ii) 30% of \$140bn = 0.3 x \$140bn (1 mark) = \$42bn (1 mark) **[2]**

If the correct answer is shown without working award full marks
OFR applies

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(b) Any two ways x 2 marks each such as

HP You become the owner of goods when you have completed payments
DP You become the owner of goods when you have paid the deposit
HP The seller can repossess the goods if the buyer defaults
DP The seller cannot repossess the goods. The seller sues the buyer for the balance outstanding
HP Goods usually have a secondhand value
DP Goods have little secondhand value
HP The buyer cannot sell the goods until all payments are made
DP The buyer can sell the goods as he is the legal owner

Any other relevant reason

(c) Type of credit x 1 mark + reasons (2 x 1 mark or 1 x 2 marks) such as

(i) Bank loan/hire purchase **[3]**

Large amount of money required
Can be paid off in instalments
Has reasonably high secondhand value

(ii) Credit card **[3]**

Acceptable to the hotel
Can be used in many countries
Safer than carrying cash
Easier to carry than cash
Rate of exchange may be advantageous

Any other relevant reason

(d) Any three reasons explained x 2 marks each such as: **[6]**

Releases cash to pay for other things
People want a higher standard of living and are prepared to borrow to pay for it
Goods/services are more expensive and so people cannot afford to pay for them in one payment e.g. house, car
More credit available and it is more accessible through advertising
Interest rates in many countries are low so buying on credit is not so expensive as when interest rates are high
Many retailers offer credit to increase turnover and to gain competitive edge
Increased amount of tourism in many countries - payment of hotel bills, goods by credit card
Increased use of Internet/e-commerce to buy goods using credit cards
Insurance available through credit card companies
Increased technology makes it easier for seller
Safer than carrying cash

Any other relevant point

N.B. may not be so applicable in some countries where few individuals have credit cards and most transactions are with cash

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5 **(a)** Any six points x 1 mark each or 3 well developed points x 2 marks such as:

The warehouse is a necessary part of Mrs Chang's business because it provides storage for large quantities of goods
It is where she displays her goods
Goods are prepared for sale/bottling/packaging etc. (2 max)
It allows goods which are seasonal in demand to be stored off-season
It helps to maintain supplies
It protects goods against weather/theft/deterioration (2 max)
It provides a place where breaking bulk can take place
If Mrs Chang imports/exports goods may be stored pending transport
Dutiable goods may be stored until duty is paid
It aids the distribution process - clearing manufacturers' production lines, awaiting sale to retailers
The warehouse is therefore a very important element of Mrs Chang's business
Cold storage

Any other relevant point

(b) Any five points x 1 mark each (including up to 2 marks for a well developed point) such as: **[5]**

They wish to sell in large quantities
They are able to trade at favourable prices (large trade discount)
They wish to save the costs of a middleman
They are trading in perishables/technical/large products
Many retailers are large-scale and wish to trade in large quantities and have the storage for them
Many manufacturers deal in branded goods which are standardised as regards size and quality
Many manufacturers advertise nationwide and so create the market for their products
Improvements in transport and communications have made it easier and faster for manufacturers to deliver goods
Selling low priced goods/selling goods which cannot go through chain of production

Any other relevant point

(c) **(i)** Any two points x 1 mark each such as: **[2]**

A warehouse where customers pay cash
And carry the goods themselves
Customers likely to be small-scale retailers
Self service warehouse

(ii) Any three points x 1 mark each such as: **[3]**

Arguments for

Would help to reduce costs e.g. delivery costs
Might attract more customers e.g. card carrying public
Would avoid bad debts
Might save time e.g. delivery
May increase turnover/business

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Arguments against

Might lose customers if does not offer traditional wholesale services
Might be selling in smaller quantities
Will need to display goods in the warehouse to attract customers
Retailer not able to pay cash – cash flow problems

Any other relevant argument

(iii) Any two actions explained x 2 marks such as: **[4]**

Develop into a specialist wholesaler concentrating on one particular commodity
Try to reduce costs e.g. labour
Form a voluntary chain with small-scale retailers
Open the warehouse to card carrying customers from the general public
Encourage small-scale retailers as customers - discounts, special offers, frequent delivery services, more credit (2 max)
Concentrate on seasonal products/perishables e.g. fruit, fish
Advertising campaign
Change business e.g. mail order, sell on-line
Improve quality of goods

Any other relevant points

6 Any two advantages explained x 2 marks each such as: **[4]**

Has many branches which because they look similar are recognisable
Able to have centralised control - centralised buying, bulk purchasing taking advantage of economies of scale
Usually selling one particular line e.g. shoes so may deal only with a few manufacturers and be able to obtain good terms
Goods can be supplied from regional distribution centres using own fleet of transport
Economies on marketing and advertising
Losses in one shop covered by profits in the other

Any other relevant advantage

(b) (i) Any three difficulties x 2 marks each such as: **[6]**

May be different languages so employees may not understand him
May be difficulties of distance - control, employing managers
May be different legal, banking and tax systems
May be difficulties moving goods across national boundaries
May have to adhere to different health and hygiene regulations
May have difficulties with different currencies and exchange rates
May be different social standards and customs as well as tastes greater risk of failure
Higher costs of insurance, transport because of risk and distance
May have difficulty co-ordinating businesses in two countries
Competition from other ice cream and soft drinks businesses
Costs of setting up

Any other relevant difficulty

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(ii) Any three points well explained x 2 marks each or 6 points x 1 mark

N.B. For full marks the candidate must have considered both advantages and disadvantages - 4:2 or 2:4

Advantages

May be able to combine the businesses and sell the two products at all the outlets
Additional finance
Additional expertise
Both involved in the food industry so compatible products
Three people to share the risks and the workload

Disadvantages

Has to give up sole ownership with its quick decision making and flexibility
May not work out - disagreements, one partner doing all the work
May lead to the closure of some outlets - redundancy
Still has unlimited liability
Sharing profits (1)

Any other relevant point

(iii) Level 2 (3-4 marks) **[4]**

Has suggested a suitable course of action with valid reasons to justify the course of action

e.g. Ben should form the partnership because it spreads the risk, he can offer a wider range of goods and concentrate his business in one country

Level 1 (1-2 marks)

Has given a course of action with superficial reasons.

e.g. Ben should form the partnership because he would get help.

Points that might be included:

Any possible course of action is correct
Reasons may be repeats of the advantages of the partnership or relating to expansion -

- May be good market opportunities in the other country
- May have exhausted the home market
- Enables Ben to keep control of his business
- Gives him new challenges to keep his interest

Some candidates might suggest that Ben could do both and substantiate this. This course of action should be accepted. Some candidates may say 'do nothing' and wait and see. This should be accepted.

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7 **(a)** Any one principle x 1 mark and 3 marks for reasons such as:

Allow without insurance principle for 3 marks max

Utmost good faith	must tell the truth because the risk and premium is assessed on the basis of the information given. Any claim will be null and void if mis-information has been given on the form
Insurable interest	the person completing the form must have a financial interest i.e. own the car he/she is insuring so that he derives benefit from its preservation
Indemnity	accept valid points relating to the form

(b) For both parts any three points x 1 mark each **[3]**

(i) The amount of premium payable will be affected -
The younger the person, the higher the premium
Because there is a higher risk of accident discounts are offered for motorists aged over 21

(ii) The premium will be affected because - **[3]**
Some cars are more difficult to repair than others
The parts for some cars e.g. foreign makes are more expensive
There is probably more risk of an accident with a sports car than a small saloon car
Age of car affects premium

(c) 50% of $1100 (1 mark) = $550 (1 mark) **[2]**
OFR applies

If the correct answer is given without working award full marks.

(d) Any four points x 1 mark such as: **[4]**

Brings insured and insurer together
Offer the best motor policy possible
Give advice on motor insurance
Provide the documentation for the motorist
Arrange a policy with the insurance company chosen
Undertake any clerical work involved in collecting and forwarding premiums to the insurance company
Provide cover note for temporary cover

Any other relevant point

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(e) Any four points x 1 mark each (including up to 2 marks for a well developed such as:

Method of extending business e.g. loan, changing type of business = 2 marks max
Undertake a nationwide advertising campaign e.g. wing television radio, newspaper giving details of services offered
Open branches in other parts of the country
Contact its clients giving them information on the planned expansion undertake a promotional campaign - offers, endorsement by famous person
Place advertisements in Yellow Page directories for the whole country
Offer under insurance cover

Any other relevant suggestion

8 **(a)** Any four points well developed which should include both advantages and disadvantages such as **[8]**

Advantages:

Greater flexibility as regards loads, timetable, route
More supervision of loads so less likely to be stolen/damaged
Side of vehicle can be used to advertise the business
May be more economical if there are regular loads
Delivery schedules can be arranged to suit customers
More contact with customers so hopefully greater customer satisfaction and return business

Disadvantages:

High cost of purchasing the vehicles
High running costs e.g. fuel, depreciation, tax, wages
May be insufficient business to justify the vehicles at all times of the year
May be unable to obtain return loads so costs are increased with the vehicle returning empty
Cost of providing buildings for garaging, maintenance dangers of diesel on the premises

Any other relevant point

Advantages/disadvantages of road transport and sole trader = 0 marks

(b) For each part, choice of transport 1 mark, reason 1 mark

(i) Refrigerated lorry - need for the vegetables to be kept fresh **[2]**
Delivery van - may be short distance so will not deteriorate
may be small quantities from a number of farms

(ii) Container lorry - large consignment - enough to fill container **[2]**
may be fragile - container will provide protection
goods can be loaded on to ship in container
Heavy goods vehicle safe form of transport

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(c) Level 3 (6-8 marks)

Has considered all three options shown which is the best option for Mr Azam with reasons and has given reasons for rejecting the other two options e.g. Mr Azam could use any of the three options. He might use a bank loan to obtain the delivery vans because interest rates may be reasonable, he can earn money with the vans to pay off the loan and it may be easy to arrange.

He might not be able to buy the vans using retained profits because the retained profit may be insufficient or he may wish to use it for other purposes. He might not wish to lease the vans as he will not own them and the payments are likely to be more than his loan repayments.

Level 2 (3 - 5 marks)

Has mentioned all three options, shown the best option with superficial reasoning and has shown why one/both of other two are rejected

OR

Has identified the best option with reasons and has shown why one or both of the other options should be rejected

e.g. as suggested answer above but with little consideration of the options. May not have commented on both of the rejected options.

Level 1 (1-2 marks)

Has identified the best option with little or no reasoning and may/may not have shown why one or both of the other options should be rejected.

Mr Azam should use a bank loan because interest on the loan may be low. (He does not like leasing.)

Points that might be included:

<u>Buying secondhand vans</u>

Should be cheaper than buying new vans
Should be able to obtain them immediately
The question implies that he has enough money to buy them may not last as long and may break down

<u>Obtaining bank loan to buy two new vans</u>

New vans should last longer and will under warranty
Having new vans will be prestigious for the business
Interest payments have to be made
May be delay in obtaining the vans because of arranging the loan the loan has to be repaid

<u>Leasing two vans from leasing company</u>

Should be able to obtain them immediately
Should be new or nearly new vehicles and so less likely to breakdown may be repaired/services as part of the leasing agreement
May be replaced with new vehicles after a period of time
Can return them if no longer required
May be more expensive to lease than to buy